WHITE PAPER · MARCH 2026

Anatomy of a $53 Billion Mega-Deal

A quantitative valuation framework dissecting Chevron's acquisition of Hess Corporation through six investment banking methodologies — built entirely in Python.

REPOSITORY
DogInfantry/hess-chevron-valuation-analysis

STACK
Python · NumPy · Pandas · Matplotlib · yfinance

MODELS
DCF · NAV · LBO · Comps · Precedents · Acc/Dil

EQUITY VALUE
$53B
All-stock, 1.025x ratio

ENTERPRISE VALUE
$60B
Incl. $6.6B net debt

DEAL EV/EBITDA
11.6x
vs. 5.5x sector median

GUYANA RESOURCE
11B boe
30% WI Stabroek Block

YEAR-1 EPS IMPACT
−6.9%
Dilutive w/o synergies

SECTION 01

Transaction Overview

The second-largest upstream deal in a generation, driven by Guyana's once-in-a-century resource base.

On October 23, 2023, Chevron announced a definitive all-stock merger to acquire Hess Corporation at an exchange ratio of 1.025 CVX shares per HES share—implying $171/share and a 10.3% premium to Hess's unaffected close of $155.39. The deal closed July 18, 2025, after the ICC arbitration panel ruled against ExxonMobil's preemptive rights claim over Hess's Stabroek Block interest. Post-close, Hess shareholders own ~14.7% of the combined entity. Combined production: ~3.83M boe/d.

PARAMETER	DETAIL
Consideration	All-stock (1.025 CVX per HES)
Equity / Enterprise Value	$53B / $60B
Premium (20d VWAP)	

Open Sandbox

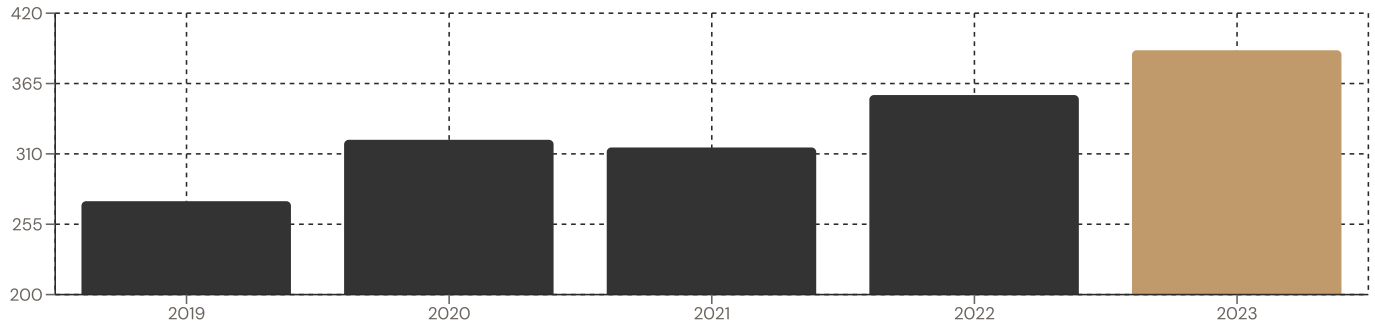
PARAMETER	DETAIL
HES FY23 EBITDA	$5,176M (implies 11.6x deal mult.)
HES Net Debt	$6,553M ($8,268M debt - $1,715M cash)
CVX Advisors	Morgan Stanley, Evercore
HES Advisors	Goldman Sachs, J.P. Morgan
Key Hurdle	ExxonMobil ICC arbitration (resolved Jul 2025)

SECTION 02

Hess Corporation

A pure-play E&P transformed by the Stabroek Block — the largest conventional oil discovery in a decade.

HESS PRODUCTION GROWTH (KBOEPD) — GUYANA-DRIVEN RAMP



+43% cumulative growth (2019→2023), almost entirely Guyana-driven.

> **The Guyana Thesis in Numbers:** 6.6M acres · 11B+ boe discovered · $35/bbl breakeven · 3 operating FPSOs (6+ by 2030) · ~640 KBOEPD gross (2024E) · Analysts value HES net Guyana at $40–46B — roughly 70% of Hess's standalone value.

INCOME STATEMENT (FY2023)	
Revenue	$10,482M
Production Costs	$4,521M (43%)
EBITDA	$5,176M
DD&A	$2,012M
EBIT	$3,164M
Net Income	$2,103M

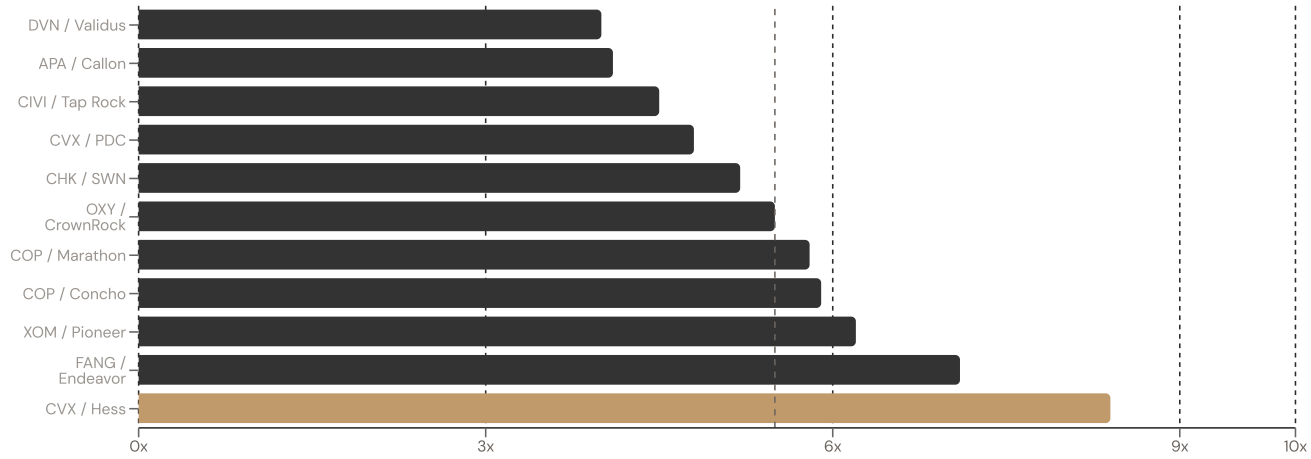
BALANCE SHEET & OPS	
Total Debt	$8,268M
Cash	$1,715M
Net Debt	$6,553M
CapEx	$3,620M
Production	391 KBOEPD
Shares Out.	306.2M

SECTION 03

Precedent Transactions

11 E&P deals (2020–2024) — the largest consolidation wave since the early 2000s.

DEAL EV/EBITDA MULTIPLES — CVX/HESS AT 8.4X IS THE HIGHEST



Key Insight: Chevron's 8.4x is 53% above the sector median (5.5x). The premium quantifies the market's view that Guyana's resource quality is unmatched in the public E&P universe. Yet Chevron's 10.3% 1-day premium is below the median deal premium of ~12%, suggesting favourable negotiation for the acquirer.

SECTION 04

DCF & Net Asset Value

The structural tension at the heart of this deal — cash flows vs. resource optionality.

WACC BUILD

Risk-Free Rate	4.30%
Unlevered β (E&P)	1.10
Equity Risk Premium	5.50%
Cost of Equity	10.35%
Cost of Debt (pre-tax)	4.50%
After-Tax CoD	3.56%
Equity / Debt Weight	85% / 15%
→ WACC	**9.33%**

5-YEAR PROJECTION SUMMARY

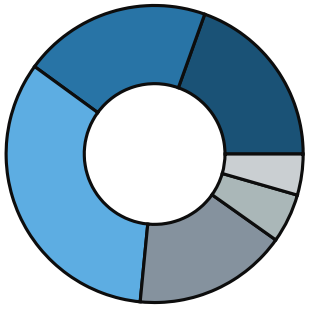
Y1 Revenue (2024E)	$11,530M (+10%)
Y5 Revenue (2028E)	$15,890M
Y1 UFCF	$1,320M
Y5 UFCF	$1,520M
Terminal Growth	2.0%
Σ PV(UFCF)	~$6,200M
PV(Terminal Value)	~$10,800M
TV as % of EV	**~63%**

DCF SENSITIVITY — IMPLIED SHARE PRICE ($) BY WACC × TERMINAL GROWTH

TG \ WACC	7.5%	8.5%	9.5%	10.5%	11.5%
1.0%	$53	$43	$36	$31	$27
1.5%	$57	$47	$39	$33	$28
2.0%	$63	$51	**$42**	$35	$30
2.5%	$70	$55	$45	$37	$32
3.0%	$78	$61	$49	$40	$34

The DCF Problem: At base-case WACC (9.5%) and 2% terminal growth, DCF implies ~$42/share — far below Chevron's $171 offer. This isn't a modelling error. A 5-year DCF structurally cannot capture the option value of 11B barrels of low-cost deepwater reserves with a multi-decade development runway. Terminal value represents ~63% of EV, and the output is dominated by assumptions about perpetuity, not observable cash flows.

NET ASSET VALUE COMPOSITION — WHAT YOU'RE ACTUALLY PAYING FOR



Guyana PD	350 MMBOE @ $15/boe	$5.3B
Guyana PUD	550 MMBOE @ $10/boe	$5.5B
Guyana P+C	1800 MMBOE @ $5/boe	$9.0B
Bakken	450 MMBOE @ $10/boe	$4.5B
GoM	120 MMBOE @ $12/boe	$1.4B
SE Asia	200 MMBOE @ $6/boe	$1.2B
Gross Asset Value		**$26.9B**
Less: Net Debt		($6.6B)
NAV / Share		**$66**

Bridging the Gap: Guyana represents 73% of gross NAV. The DCF-to-NAV gap ($31 vs $66) quantifies the option value of undeveloped reserves that a 5-year cash flow projection cannot capture. This is precisely why strategic acquirers pay premiums that financial models cannot justify.

SECTION 05

LBO Floor Valuation

A $60B LBO is hypothetical — but it reveals what financial buyers cannot pay.

ENTRY EV
$60B
11.6x EBITDA

LEVERAGE
4.0x
$20.7B debt

SPONSOR EQUITY
$39.3B
65% of EV

TARGET IRR	REQ. MOIC (5YR)	MAX ENTRY EV	MAX $/SHARE	VS. OFFER
25%	3.05x	~$30B	~$55	-68%
20%	2.49x	~$38B	~$85	-50%
15%	2.01x	~$48B	~$120	-30%

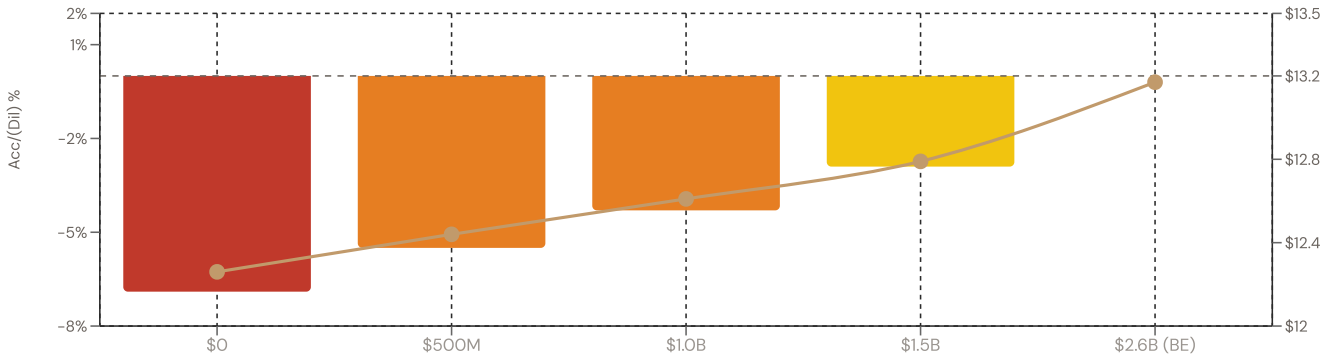
LBO Verdict: Even at a 15% IRR threshold (below standard PE hurdle rates), the maximum affordable price is ~$120/share — 30% below Chevron's offer. No financial sponsor can match the strategic premium. The gap between $120 and $171 is the quantified value of being a strategic acquirer with operational synergies and a multi-decade investment horizon.

SECTION 06

Accretion / Dilution

The near-term EPS math for Chevron shareholders — and why it doesn't tell the whole story.

SYNERGY SENSITIVITY — EPS IMPACT AT VARYING SYNERGY LEVELS



CVX STANDALONE EPS	PRO FORMA (NO SYN.)	BREAKEVEN SYNERGY
$13.17	$12.26 (-6.9%)	$2,593M pre-tax

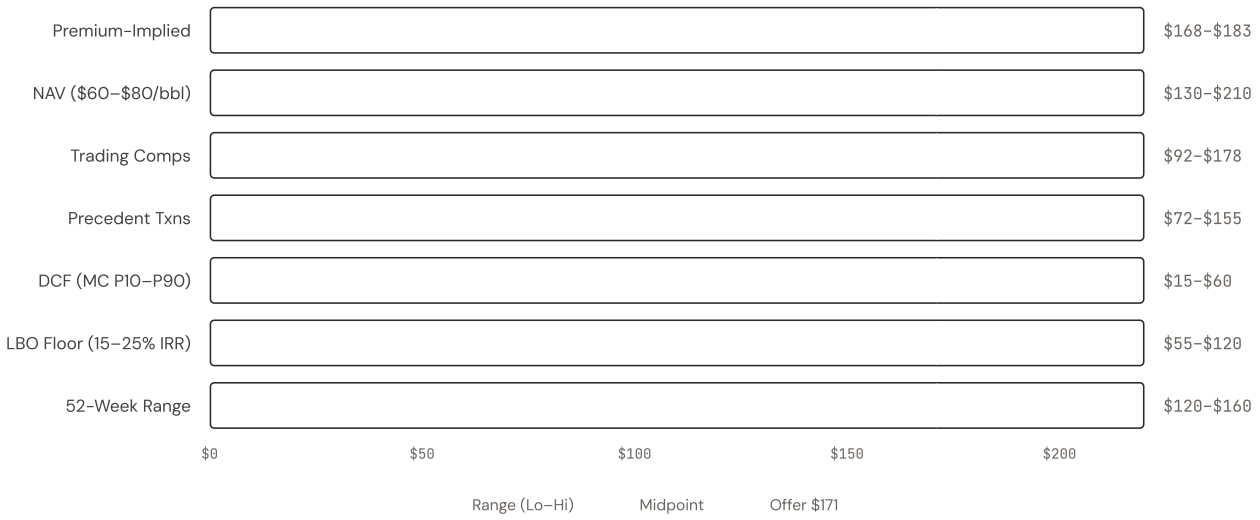
> **The Real Thesis:** Even at Chevron's guided $1B synergies, the deal remains ~4.3% dilutive. Breakeven requires $2.6B — well above typical E&P combination targets. *Chevron is not buying Hess for today's earnings. It's buying Guyana's future production ramp.* Short-term EPS dilution is the price of decades of low-cost growth.

SECTION 07

Valuation Football Field

The signature deliverable — seven methodologies, one chart, one answer.

IMPLIED SHARE PRICE BY METHODOLOGY VS. CHEVRON'S $171 OFFER



SECTION 08

Deal Verdict

Fair but not generous — priced on resource optionality, not current cash flows.

The Structural Bifurcation

Cash-flow models (DCF, LBO) say Hess is worth far less than $171. Resource and market models (NAV, Comps, Precedent Premiums) say it's worth about that. The gap isn't a modelling error — it's the **Guyana premium**: the option value on 11 billion barrels that a 5-year cash flow horizon structurally cannot capture. Strategic acquirers with patient capital pay for this optionality. Financial sponsors cannot.

FOR HES SHAREHOLDERS

- 10.3% premium — low end of E&P deal range (median ~12%)
- All-stock preserves tax deferral + Guyana upside
- Premium-implied range ($168–$183) brackets offer
- Arbitration risk resolution removed major overhang

FOR CVX SHAREHOLDERS

- 6.9% EPS dilutive Year 1 (breakeven: $2.6B synergies)
- Post-close: 3.83M boe/d, #2 global integrated major
- Guyana extends production growth to 2030s+
- $2.3B open-market HES purchase signals conviction

Bottom line: Chevron's $171 offer is defensible on a resource-basis (NAV) and consistent with market-implied pricing (premium analysis), but requires acceptance of near-term earnings dilution as the cost of acquiring a generational asset. The deal is *fair but not generous* — Chevron negotiated effectively, and Hess shareholders retain upside through CVX equity. The true test is whether Guyana delivers on its multi-decade production promise.

DISCLAIMER

This analysis is produced for educational and portfolio demonstration purposes only. It does not constitute investment advice or a recommendation regarding the Chevron–Hess transaction. All financial data and projections are based on publicly available information from SEC filings, press releases, and market data providers. The author has no material position in any securities discussed.

github.com/DogInfantry/hess-chevron-valuation-analysis

Built in Python · March 2026